



PRUmax invest

Product primer

This product primer summarizes the key benefits and limits of PRUmax invest. It is a quick guide on the product created primarily for the use of Pru Life UK employees and distributors. While reasonable care was made in the preparation of this material, any omissions, deletions and/or statements inconsistent with the Policy Contract must be construed or rectified in favor of the Policy Contract. Should you wish to share this material with persons who are not Pru Life UK employees or distributors, please secure the prior written approval of the Market Research and Product Development team.

What is PRUmax invest?

PRUmax invest is a new life insurance package that integrates the best features of traditional and unit-linked products. It is a 15-year renewable term plan that combines guaranteed protection coverage via the traditional term component of PRUmax value 15 (base plan) and an earning potential via the new **Variable Life (VL) Rider**.

What is a Variable Life Rider?

For existing PRUmax value 15 Policyowners, the VL Rider is an optional rider that can be attached to the traditional life insurance product for an opportunity for potential wealth accumulation in addition to the guaranteed protection coverage. This can be done by making additional payments that will be invested in available funds. The Policyowner has the option to make an additional One-off Premium, called VL Rider Premium, or to make Regular VL Rider Premiums, subject to the Company's rules and regulations.

What are the unique selling propositions of the PRUmax invest?

- Offers maximum protection for its substantial Sum Assured
- With very affordable premiums
- Guaranteed payable in fifteen (15) years, with term coverage of fifteen (15) years
- Higher potential benefits (guaranteed + non-guaranteed benefits)
- Minimal VL Rider entry premium of five thousand pesos (PhP 5,000)
- Flexible VL Rider Premium, as the Policyowner can increase or decrease the Premium anytime
- Opportunity to invest in various PRUlink peso funds for the VL Rider
- Can serve as an alternative for unit-linked life insurance products

What is the minimum VL Rider Premium?

The minimum VL Rider Premium per transaction is five thousand pesos (**PhP 5,000**).

What is the total Death Benefit of PRUmax invest?

The total Death Benefit of PRUmax invest will be composed of the following:

- The Sum Assured of PRUmax value 15, plus
- Death Benefit of the VL Rider.

How much is the Death Benefit of the VL Rider?

- When a VL Rider payment is made concurrent with the base plan's Policy Effectivity Date, the Death Benefit is equal to the Full Death Benefit as follows:

Full Death Benefit is equal to the higher of:

- one hundred and twenty-five percent (125%) of VL Rider Premium less one hundred and twenty-five percent (125%) of all Partial Withdrawals; or
 - the Fund Value corresponding to the VL Rider Premium.
- When a VL Rider payment is different with the base plan's Policy Effectivity Date, the Death Benefit is equal to the following:

		Death occurs within 2 years		Death occurs after 2 years from date premium is made	
		■ Accidental death = Full Death Benefit (as stated in the immediately preceding paragraph) ■ Non-accidental death = Return of value of units plus initial and insurance charges paid		■ Accidental or Non-accidental death = Full Death Benefit (as stated in the immediately preceding paragraph)	
Date Variable Life Rider Premium is made (years)		1 year	2 years	3 years	4 years ONWARDS ➡

The total Death Benefit of the VL Rider is the sum of the Death Benefits payables to each VL Rider made.

What are the other riders that can be attached to PRUmax invest?

- **Accelerated Total and Permanent Disability Benefit** – pays the benefit amount if the Life Insured becomes totally and permanently disabled due to bodily injury or disease before the Policy anniversary immediately following the seventieth (70th) birthday of the Life Insured or before the expiry date of this benefit.
- **Accelerated Life Care Benefit** – pays the benefit amount by advancing the basic Sum Assured if the Life Insured has been diagnosed to be suffering from any of the thirty-six (36) critical illnesses or has gone surgery due to said critical illnesses, before the policy anniversary immediately following his seventieth (70th) birthday or before the expiry date of this benefit.
- **Accidental Death and Disablement Benefit** – pays the benefit amount if the Life Insured dies or sustains bodily injury due to accident within one hundred and eighty (180) days of the accident, before the policy anniversary, immediately following his seventy-third (73rd) birthday or before the expiry date of this benefit.
- **Personal Accident Rider Benefit** – pays the benefit amount if the Life Insured dies or sustains bodily injury due to accident before the policy anniversary immediately following his seventy-third (73rd) birthday and before the expiry date of this benefit.
- **Hospital Income Rider Benefit** – provides daily and/or lump sum cash benefits to the Life Insured for hospitalization due to injury or illness before the policy anniversary immediately following his sixty-fifth (65th) birthday and before the expiry date of this benefit.
- **Waiver of Premium on Total and Permanent Disability** – waives all future premiums falling due after commencement of Total and Permanent Disability if the Life Insured becomes totally and permanently disabled due to bodily injury or disease before the policy anniversary immediately following his sixtieth (60th) birthday or before the expiry date of this benefit.
- **Life Care Waiver** – waives all future regular premiums until the expiry date of the premium paying term if Life Insured is diagnosed to be suffering from any of the critical illness or has undergone surgery due to a

covered critical illness before the policy anniversary immediately following his seventieth (70th) birthday or before the expiry date of this benefit.

PRUmax invest product limits

OPTIONAL BENEFITS	Issue age	Premium term and benefit term	Coverage
PRUmax value 15 + VL Rider	18 to 65	15 years	Minimum Sum Assured (SA): For ages: 18-39 = PhP 1,000,000 40-65 = PhP 750,000
			Maximum SA: Reinsurer's limit VL Rider SA: 25% of the Rider's Premium
Accelerated Total and Permanent Disability	18 to 65	15 years or until age 70, whichever is earlier	Minimum of PhP 100,000 Maximum = Basic SA
Accelerated Life Care Benefit	18 to 60	15 years or until age 70, whichever is earlier	Minimum: PhP 100,000 Maximum: 100% of basic SA but will not exceed PhP 5,000,000
Accidental Death and Disablement (ADD)	18 to 65	15 years or until age 73, whichever is earlier	Minimum: PhP 100,000 Maximum: 5x basic SA or up to PhP 10,000,000 whichever is lower
Personal Accident (PA)			
PA Standard	18 to 65	15 years or until age 73, whichever is earlier	Package 1 (PhP 100,000) (default) Package 2 (PhP 300,000) Package 3 (PhP 500,000) Package 4 (PhP 1,000,000) Package 5 (PhP 2,000,000) Components (default): PA- ADD (100% of Package) PA- TPD (100% of PA- ADD) PA- M&A (50% of PA-ADD) Optional Benefit: Accidental Medical Reimbursement (AMR) = 10% of PA Sum Assured
PA Executive	18 to 65	15 years or until age 73, whichever is earlier	Package 1 (1,000,000) (default) Package 2 (2,000,000) Components (default): PA- ADD (100% of Package) PA- TPD (100% of PA-ADD) PA- M&A (50% of PA-ADD) PA- Double Indemnity (100% of PA-ADD) Optional benefit: AMR = 10% of PA Sum Assured
Hospital Income (HI)	18 to 54	15 years or until age 65, whichever is earlier	Available SA options: PhP 1,000/ 1,500/ 2,000/ 2,500/ 3,000/ 3,500/ 4,000/ 4,500/ 5,000

			Default: Daily Hospital Income – 100% of HI SA Intensive Care Unit – 200% of HI SA Long Term Hospitalization – 100% of HI SA Surgical Expense Reimbursement – 15x HI SA
Waiver of Premium on Total and Permanent Disability	18 to 55	15 years or until age 60, whichever is earlier	Future premiums to be waived
Life Care Waiver	18 to 60	15 years or until age 70, whichever is earlier	Future premiums to be waived

Is there a Cooling-off Period for the VL Rider?

Yes, the Cooling-off Period for the VL Rider is fifteen (15) days. If, after buying the Policy, the Policyowner decides that the VL Rider is not suitable to his/her needs, he/she must simply return the Policy Data Page to Pru Life UK within fifteen (15) days from the date he/she receives it. The Company will return the value of units allocated to his/her VL Rider plus all charges related thereto. No Surrender Charge will be imposed on the amount of refund and a new Policy Data Page reflecting the benefits excluding the VL Rider will be provided.

Can the Policyowner make a One-off or Regular VL Rider Premiums during the first Policy Year?

The Policyowner can make a VL Rider Premium during the first year of the base plan only if premiums for one (1) year's coverage have already been paid.

How often can the Policyowner make a VL Rider Premium?

1) One-off Premium

- Policyowner can make an additional One-off Premium anytime during the first year as long the base plan's Premiums for the first year's coverage have been paid.
- As for the succeeding years, Policyowner can make an additional One-off Premium anytime as long as the base plan's current Regular Premium due is paid.

2) Regular Premium

- Policyowner will be regularly billed the VL Rider Premium alongside the base plan's Regular Premium based on the number of years specified upon application.
- Regular billing will start upon payment completion of the base plan's first year Premium.
- Failure to pay subsequent VL Rider Premiums will not cause the insurance policy or the VL Rider to lapse.

Will the subsequent VL Rider Premiums be subject to underwriting process?

All subsequent VL Rider Premiums will be issued under Guaranteed Insurability Offer (GIO) basis, which requires no medical underwriting but is subject to financial underwriting and anti-money laundering guidelines.

What happens when there are unpaid policy premiums and the Policyowner wants to make a One-off VL Rider Premium?

During the base plan's succeeding Policy Year, the Policyowner is not allowed to make a VL Rider Premium if he/she fails to pay any of the base plan's Regular Premium due. Any VL Rider payments to be made will be used first to pay any Regular Premiums due. Any remaining amount, if within the minimum VL Rider Premium requirement, will be used as VL Rider Premium. Otherwise, the excess amount will be returned to the Policyowner.

What happens to the VL Rider when the customer fails to pay the Premiums of the base plan?

The VL Rider is an optional benefit and will not persist without the base plan. Once the base plan lapses or matures, the VL Rider will likewise cease to be in force.

Upon surrender, lapse, or maturity of the plan, the Fund Value of the VL Rider (if any), net of applicable charges, will be provided to the Policyowner.

What are the charges associated with the VL Rider?

- a) **Initial Charge** – is used to cover the expenses incurred for the administration and processing of VL Rider Premium transactions. The rate is three percent (3%) of the VL Rider Premium, and is deducted monthly from the Fund Value on the first year each payment was made (i.e. $3\% \div 12$ months).
- b) **Insurance Charge** – is used to cover the cost of providing the VL Rider's minimum Death Benefit. The rate varies according to the age of the Life Insured at each billing date. This charge also includes the cost of insurance taxes due on the VL Rider.
- c) **Extra Charge** – is used to cover the increased mortality or morbidity associated with the risks the Company is exposed to. The rate varies according to the age and substandard risk class of the Life Insured.
- d) **Annual Management Charge (AMC)** – is reflected in the published unit price. Thus, the unit price is net of all AMC. The following are the AMC rates as of June 2016:

Peso funds:	
PRUlink bond fund	1.53%
PRUlink managed fund	1.79%
PRUlink growth fund	2.25%
PRUlink proactive fund	2.25%
PRUlink equity fund	2.25%
PRUlink money market fund	0.50%

- e) **Surrender Charge** – Withdrawals will be drawn from the units created from the VL Rider Premiums. The Surrender Charge that will be applied on each Withdrawal shall be based on the schedule below. The Policy Year will be counted from the date each premium is made.

Year	Surrender Charges (first-in, first-out basis)
Policy Year 1	5%
Policy Year 2	4%
Policy Year 3	3%
Policy Year 4	2%
Policy Year 5	1%
Policy Year 6 onwards	0%

Note: All withdrawals will be made on a first-in, first-out basis.

What is the “first-in, first-out” (FIFO) concept as applied to Partial or Full Withdrawal of the VL Rider Fund Value?

Partial withdrawals are funded by selling the number of units in the fund that will cover the amount of the Partial Withdrawal. Partial Withdrawals will first be drawn from the units created from the first VL Rider Premium until they are exhausted. Once exhausted, succeeding Partial Withdrawals will then be drawn from units created from succeeding VL Rider Premiums, on a FIFO basis.

What are the Policyowner’s options after the issuance of the VL Rider?

- **Fund Switch**

Fund Switch is the process of transferring part or all of investment from one fund to another. Pru Life UK sells the units from the old fund and buys units in the new fund. The unit price to be used in the selling and buying of units will be the unit price on the next pricing date following the receipt and approval of the Fund Switch application.

The minimum amount to switch is two thousand five hundred pesos (PhP 2,500). The Policyowner is granted one (1) free switch per year. Succeeding switches will be charged one percent (1%) of the amount switched. The remaining units in the source fund must be worth at least five thousand pesos (PhP 5,000). Otherwise, the Policyowner must switch all the units out of said source fund.

- **Premium Redirection**

Premium Redirection is the process of reallocating a part or all of the prospective VL Rider Premiums from one fund to another.

- **Partial Withdrawals**

Once the VL Rider has a withdrawal value, the Policyowner may partially withdraw therefrom anytime. Withdrawals are funded by cashing in the units created from the VL Rider Premium.

The minimum Partial Withdrawal is two thousand five hundred pesos (PhP 2,500) and a maintaining fund balance of five thousand pesos (PhP 5,000) is required after every withdrawal. If not, the VL Rider will have to be fully withdrawn.

- **Full Withdrawal**

The Policyowner may apply to fully withdraw the VL Rider anytime, but this is subject to applicable charges. The Full Withdrawal value consists of the total value of units created from the VL Rider Premium less the applicable Surrender Charge.

What happens to the VL Rider when the base plan is renewed?

The VL Rider will be renewed subject to the following conditions:

- The Life Insured has not reached age 66;
- The basic plan is similarly renewed; and
- The renewed VL Rider’s expiration date is on or before the end of the current benefit term of the policy to which the said VL Rider is attached.

Succeeding VL Rider Premiums may be made thereon upon renewal.

What happens when PRUmax invest or PRUmax value 15 is converted to a unit-linked policy?

Upon conversion of the base plan to a unit-linked policy, the Fund Value of the VL Rider – net of Surrender Charges – will be provided to the Policyowner.

What is the Maturity Benefit of the VL Rider?

If the Life Insured is alive on the Policy Maturity Date, the Policyowner will be paid the value of the VL Rider units.

When will the VL Rider terminate?

The VL Rider terminates in the following circumstances, whichever occurs first:

- a. in the event of death of the Life Insured;
- b. when the policy to which the VL Rider is attached is no longer in force;
- c. when there are insufficient units in the VL Rider's account to pay for any or all of the charges; or
- d. upon written request for termination.

In the event of termination of the VL Rider, the Death Benefit or the Fund Value, whichever is applicable, and net of relevant charges, will be provided to the Policyowner or to the Beneficiary(ies), as may be applicable.

What are the available funds the Policyowner can choose to invest in the VL Rider?

- a) **PRUlink bond fund** – seeks to achieve an optimal level of income in the medium term together with long-term capital growth through investments in fixed income securities and money market instruments.
- b) **PRUlink managed fund** – seeks to optimize medium- to long-term capital and income growth through investment in fixed income securities, money market instruments, and shares listed on the Philippine Stock Exchange.
- c) **PRUlink growth fund** – seeks to optimize medium- to long-term capital and income growth, with an emphasis on strong capital growth, through a greater focus of investment in shares of stocks listed in the Philippines. The Fund also invests in fixed income securities, and money market instruments.
- d) **PRUlink equity fund** – seeks to optimize medium- to long-term capital growth through investments in shares of stocks listed in the Philippines.
- e) **PRUlink proactive fund** – seeks to optimize medium- to long-term capital and income growth with emphasis on dynamic asset allocation by fund managers through investment in fixed income securities, money market instruments and shares of stocks listed in the Philippines.
- f) **PRUlink money market fund*** – seeks to provide a stable return through investments in fixed income instruments issued by the Philippine government and short-term instruments such as deposit placements.

**Available for switching only*